

A Rental Is an Asset, Not a Sale Waiting to Happen

A field guide to buy & hold bookkeeping — acquisition, refinancing, depreciation, and the eventual sale — built around the one distinction that changes everything: this property depreciates.

Rental books that never depreciate anything

The mirror image of the fix & flip mistake: rental properties booked with no land/building split, no depreciation schedule, and every mortgage payment hitting interest expense in full — principal reduction and escrow included. It understates equity, overstates expense, and leaves the eventual sale gain wildly wrong.

A hold property is a depreciable asset from day one — that's the entire model, and it never stops mattering.

SIGNS YOUR RENTAL FILE IS BROKEN

- 1 No depreciation expense ever posted
- 2 Full mortgage payment coded to interest expense
- 3 A new roof booked as a repair, not capitalized
- 4 Security deposits sitting in the operating cash account

Split the purchase price on day one

Land never depreciates. Building does. Get the split right at acquisition and everything downstream follows correctly.



Example allocation, based on the county assessor's land/building ratio at acquisition

Land	Building & Improvements	Capital Improvements	Loan Fees — Mortgage
Never depreciated — permanent asset.	Depreciated straight-line over its useful life.	New roof, HVAC — own schedule, own start date.	Amortized over the loan's term, not the holding period.

The split happens the day you close, not at tax time

\$240,000 purchase (20% land / 80% building), \$7,800 closing costs allocated pro rata, 25% down, \$3,200 loan fees.

Account	Debit	Credit	Notes
Land	\$49,560		20% of price + allocated costs
Building & Improvements	\$198,240		80% of price + allocated costs
Loan Fees — Mortgage	\$3,200		Amortized over the loan term
Prepaid Tax / Insurance	\$1,450		Prorated at closing
Notes Payable — Mortgage		\$180,000	75% LTV loan proceeds
Cash		\$72,450	Down payment + fees + prepaids

Loan fees are never expensed in full at closing — they amortize over the loan's own term, same as any other long-term financing cost.

A cash-out refi still writes off the old loan's fees

Cash-out refinance: old balance \$162,400, \$1,850 unamortized fees, \$38,000 cash-out, \$2,900 new fees.

Account	Debit	Credit	Notes
Notes Payable — Mortgage (old)	\$162,400		Payoff of prior balance
Loss on Debt Extinguishment	\$1,850		Unamortized fees, written off
Cash	\$38,000		Net cash-out proceeds
Loan Fees — Mortgage (new)	\$2,900		Amortized over new loan's term
Notes Payable — Mortgage (new)		\$205,150	New loan proceeds

A rate/term refi with no cash out is the identical structure with \$0 on the Cash line — the old fees still get written off in full.

Depreciation runs every period, rented or not

Straight-line over 27.5 years (residential) or 39 years (commercial) — confirm the tax life and any cost segregation opportunity with the client's CPA, but book depreciation on this schedule every period regardless.

$\$198,240 \div 27.5 \text{ yrs}$

\$601/mo

depreciation expense, every month, non-cash

Capital improvements (new roof, HVAC) get their own schedule, starting on their own placed-in-service date — never folded into the original building basis.

The sale gain is a plug — verify it, don't just post it

Sells for \$310,000, \$18,600 selling costs, \$198,700 mortgage payoff, \$28,850 accumulated depreciation.

Account	Debit	Credit	Notes
Cash	\$92,700		Net proceeds after payoff & selling costs
Notes Payable — Mortgage	\$198,700		Full payoff at closing
Selling Costs	\$18,600		Commission, title, recording
Accumulated Depreciation	\$28,850		Full balance removed
Land		\$49,560	Removed at original cost
Building & Improvements		\$198,240	Removed at original cost
Gain on Sale		\$91,050	Plug: sale price – net book value

After the \$18,600 selling costs, net gain is \$72,450 — and \$28,850 of that (the depreciation taken) is unrecaptured §1250 gain, taxed differently than the rest. That split is the CPA's call.

Depreciation, done every month you hold it — not just at tax time.

We set up the land/building split, run the recurring depreciation and loan amortization schedules, and hand you a rent roll that ties out — so the sale, whenever it comes, isn't a surprise.

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